

Chapter #11

Sources of CAPITAL

Q. Define debt financing and equity financing?

⇒ Both are the most common ways of raising capital for a business.

Debt financing = (borrowing money that must be repaid with interest).

⇒ Obtaining borrowed funds for the company.

⇒ Asset-based financing; requires some asset to be used as a collateral.

⇒ Borrowed funds plus interest need to be paid back.

o Common sources: banks, credit union, online lenders. Can also seek loans from friends & family or issue bonds.

Equity financing = (angel investors, venture capitalists)

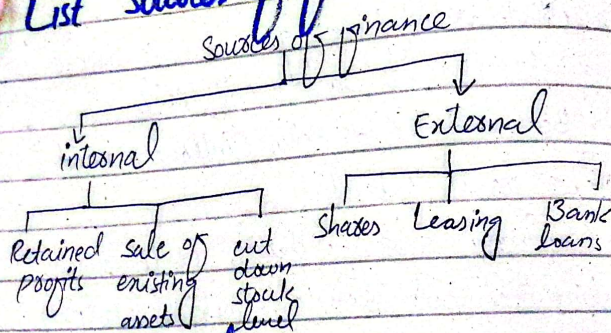
o obtaining funds for the company in exchange for ownership. Does not require collateral. Offers investors some form of ownership position.

⇒ Raising capitals by selling shares of the company to investors.

Define capital.

- ⇒ Capital is necessary factor of production and, like any other factor, it has a cost.
- ⇒ Capital is the money or wealth needed to produce goods and services. In most basic term, it is money.
- ⇒ All businesses must have capital in order to purchase assets and maintain their operations.

List sources of finance:



List internal sources of funds?

- ⇒ Internally generated funds are most frequently employed sources:
 - o Profit
 - o Sale of assets
 - o amount receivable
 - o working capital reduction

- ⇒ Short-term internal sources of funds:
 - o reducing short-term assets: inventory, cash etc
 - o extended payment terms from suppliers.

Q. Criteria for evaluating the external sources of funds?

- o Length of time the funds are available.
- o Costs involved.
- o Amount of company control lost.

Q. General sources of capital?

- ⇒ Personal savings
- ⇒ Family members
- ⇒ Partners
- ⇒ Personal charge cards
- ⇒ Bank loans
- ⇒ Venture capital
- ⇒ Friends
- ⇒ Angles
- ⇒ mortgaged property
- ⇒ Others.

Q. List down factors that affecting type of finance?

- ⇒ Availability of funds.
- ⇒ Assets of the venture
- ⇒ Prevailing interest rates.
- ⇒ All financing requires some level of equity, amount will vary by nature and size of venture.

Q. What are personal funds?

- ⇒ Refer to money that an entrepreneur invests from their own savings or personal financial resources to start or support their business.
- ⇒ Least expensive funds in terms of cost and control.
- ⇒ Essential in attracting outside funding.
- ⇒ Typical sources of personal funds:
 - Savings
 - Life insurance
 - Mortgage on a house or car

Q. family and friends sources?

⇒ Likely to invest due to relationship with entrepreneurs.

Pros:

Easy to obtain money

Cons:

Direct into operations of venture

- ⇒ A formal agreement must include:
 - Amount of money involved
 - Terms of the money
 - Rights and responsibilities of the investors.
 - Steps to be taken in case business fails.

Q. List of types of loans?

⇒ Asset based loans

- Account receivable loans
- equipment loans
- Real-estate loans.

⇒ Cash-flow financing (Conventional bank loans)

- Installment loans
- Straight commercial loans
- Long-term loans

Define asset base for loans?

⇒ Tangible collateral valued at more than the amount of money borrowed.

What are real estate loans?

⇒ Also known as mortgage loans, are loans secured by real property through the use of a mortgage note.

⇒ These loans are commonly used for purchasing, financing, or investing in real estate.

Q. Bootstrap financing:

⇒ Bootstrap financing involves using any possible method for converting cash such as:

- Use of discounts for volume
- frequent customer discounts
- Promotional discounts

Q. Explain research and development limited partnerships?

⇒ money given to a firm for developing a technology that involves a tax shelter.

Major elements:

○ Contract:

⇒ Liability for loss incurred is borne by the limited partner; tax advantages to both parties.

○ Limited partnership:

⇒ A party that usually supplies money and has a few responsibilities.

○ Sponsoring company:

⇒ Acts as the general partner; has the base technology but needs funds to develop it.

Procedure:

Funding stage:

- Establishment of contract, investment of money, documentation of terms and conditions, and scope of research.

Development stages

- Sponsoring company performs actual research.

Exit stages

- Commences when technology is successfully developed.

Benefits

- Reduces the risk involved.
- Provides funds with minimum amount of equity dilution.
- Strengthens Sponsoring company's financial statements.

Costs

- Expending of time and money.
- Restrictions placed on technology.
- Exit from the partnership may be too complex.

What are grants?

⇒ These are awards of capital that are given by businesses by govt agencies, nonprofit organizations, or other sources. Grants are typically awarded to businesses that are working on innovative socially beneficial projects.

Process of financial planning

- Budgeting
- cash flow management
- Revenue projections
- Expense control
- financial forecasting
- Risk assessment
- funding options
- financial records
- Debt management
- Profitability analysis

Why most new ventures need funding?

Due to three reasons:

1. Cash flow challenges
2. lengthy product development cycle
3. Capital investments

Informal Risk capital, venture capital & going public.

Financing the Business

⇒ Criteria for evaluating appropriateness of financing alternatives:

- Amount and timing of funds required

- Projected company sales and growth.

Stages of business development funding: Types of funding.

(i) Early Stage financing:

⇒ one of the first financing obtained by business

⇒ it is most difficult and costly to obtain.

⇒ Two types of financing are available during this stage:

Seed Capital:

- A relatively small amount of capital needed to prove concepts and finance feasibility studies.

Startup Capital/financing:

- They involved in developing and selling some initial products to determine if commercial sales are feasible.

- Also difficult to obtain.

⇒ Angel investors are very active in two types of firms.

(ii). Development financing:

⇒ Second basic financing type.

Easier to obtain than early-stage

financing.

⇒ Venture capitalists play active role in providing funds at this

stage.

⇒ As the firm develops, the funds for expansion use less costly.

Second stages

Used as working capital to support initial growth.

Third stages

The company is at breakeven point or near profit level and uses funds for sales expansion.

Fourth stage

are usually used as bridge financing in the interim period before going public.

3) Acquisition financing:

Also known as leveraged buyout financing more specific in nature. Financing to buy another company.

Business Angels:

Individual investors in the informal risk capital market.

Equity participation:

Taking an ownership position in a company.

Risk capital markets:

Refers to sources of funding that provide money for businesses that are in situations where traditional financing options, like ^{bank} loans, might not be available due to higher risks.

→ These markets help entrepreneurs get the necessary funds to start or grow their businesses, even when the business ventures are considered risky.

consist of ^{investors} ^{group of} ^{wealthy} ^{individuals} ^{Types} can be source of funds for stage one financing.

(i) Informal risk capital markets:

Source of funding where individual investors, often called "business angels" provide money to small or early stage businesses. These investors use their own money to help entrepreneurs who might have a promising business idea but are considered too risky for traditional bank loans.

Based on high risk, high reward.

2. Venture capital market:

- ⇒ Type of financial market.
- ⇒ Formal investment companies known as venture capital firms.
- ⇒ Provide funds to startup and small businesses that have high growth potential.
- ⇒ They seek to make large returns on their investments, typically by owning a part of the company and eventually selling it for profit.

3. Public equity markets: ^{enterprise capital market}

- ⇒ Type of financial market where shares of companies are bought and sold by the general public.
- ⇒ Any one can buy and sell shares. These shares represent ownership in the company and are traded on stock exchanges.

Venture capital

^{Risk capital to the entrepreneur}
^{high risk, high rate of return}
Type of financing provided by investors to startups and small businesses that have high growth potential. These investors are known as venture capitalists. They offer capital in exchange for equity, or ownership stakes, in the companies they invest in.

⇒ Refers to financing of new high risk ventures promoted by qualified entrepreneurs who look for experience and funds to give shape to their ideas.

⇒ Form of private equity funding.
⇒ This capital helps these companies handling the initial stages of development, expand operations, and bring innovative products or services to market.

Nature of venture capital

- ⇒ A long term investment discipline, usually covering a five-year period.
- ⇒ The equity pool is formed from the resources of wealthy limited partners.

equity pools money raised by venture capitalists to invest.

⇒ Foundin:

- o creation of early stage companies
- o expansion & revitalization of businesses
- ⇒ Venture capitalists takes an equity participation in each of the investments.

Sources of venture capital

- o Equity - interest in
- o Income note - give royalty & rate of interest
- o Conditional loan - give royalty
- o Quasi-equity ^{security of a company}
- o Participating debentures ^{document issued under the seal of the company}
- o Initial public offer
- o Acquisition by another company

Definition

⇒ Investment of funds in a highly risky projects with the objective of earning a high rate of return.

⇒ They provide seed capital to unproven ideas, product, technology oriented or start up firms.

⇒ high degree of risk & high degree of returns.

Types of venture capital firms

(1) Private venture capital firms:

- o emerged the late 1960s. ^{→ established in United States.}
- o A type of firm having general and limited partnership.

Limited partnership:

⇒ who supplied the funding / institutional investors. e.g. insurance companies

(2) Small business investment company (SBIC):

⇒ Small companies with some government money that invest in other companies.

⇒ Type of investment firm that helps small businesses grow by providing them with money.

⇒ A SBIC gets funding from the U.S. government and private investors to invest in small businesses.

(3) Industry sponsored firms

⇒ Company that gets its funding or support from a particular industry or group of companies within that industry.

⇒ Support can be in form of money, resources, or expertise.

4. Geographic oriented

⇒ A company that focuses its business activities within a particular area, like city, region or country serving customers or clients in that specific location.

5. Philanthropic firms

⇒ A company that dedicates a significant portion of its resources, such as money, time or expertise, to support charitable causes and make a positive impact on society.

⇒ Also encourage employees to participate in community service project.

6. University sponsored firms

⇒ Company that has formal relationship with a university.

⇒ And university provide it resources or funding etc.

⇒ may originate from research conducted at the university or have strong ties to faculty, students & alumni.

Venture capital Process

Objective of venture-capital firm:

→ Generation of long-term capital appreciation through debt and equity investments. To achieve this, the venture capitalist is willing to make any changes or modifications in the business investment.

⇒ Criteria for committing to venture:

1. Strong management team
2. A unique product & market opportunity.
3. Business opportunity must show significant capital appreciation.

Stages of process

⇒ Venture capital process can be broken down into four primary stages:

Stage-1: Preliminary screening

○ Initial evaluation of deal.

it begins when the business plan are received.

○ A good business plan is essential during venture capital process.

most of the venture capitalist even do not talk to the entrepreneurs who does not have one.

◦ The business plan must have mission and clearly stated objectives that are supported by an in-depth industry and market analysis and proforma income statement.

◦ The executive summary of business plan is used for initial screening in this preliminary evaluation.

◦ In preliminary screening, the venture capitalists investigate the economy of the industry and evaluate whether he or she has the appropriate knowledge and ability to invest in that company/industry.

Stage-II: Agreement on principal terms:

◦ Between entrepreneurs and venture capitalist.

◦ The venture capitalist want to have a basic understanding of the principal terms of the deal at this stage of the process before making the major commitment of time and effort involved in the formal diligence process.

Stage-III: Due diligence:

◦ Stage of deal evaluation.
Longest stage involving one to three months.

◦ This include detailed review of company history, the business plan, the resumes of the individuals, their financial history and target market customers.

◦ The upside and downside risks are assessed.

◦ There is thorough evaluation of market, industry, finances, suppliers, customers and management.

Stage-IV: final approval:

◦ Document showing final terms of the deal.

◦ This document reviews the venture capitalist findings and details the investment terms and conditions of the investment transaction. This info is used to prepare the formal legal document both the entrepreneurs & venture capitalists will sign to finalize the deal.

Locating venture capitalists:

⇒ Venture capitalists tend to specialize either geographically by industry or by size and type of investment.

⇒ Entrepreneurs should approach only those that may have an interest in the investment opportunity. Most venture capital firms belong to the national capital association.

Ratio analysis:

⇒ measure of financial strength and weaknesses of the venture but should be used with caution. Provides a sense of where problems exist in the financial statements.

Liquidity Ratios:

$$\text{Current Ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

$$\text{Acid Test Ratio} = \frac{\text{Current assets} - \text{Inventory}}{\text{Current liabilities}}$$

Activity Ratios:

$$= \frac{\text{Accounts receivable}}{\text{Average daily sales}}$$

Leverage Ratios:

$$= \frac{\text{Total Liabilities}}{\text{Total assets}}$$

Profitability Ratios:

$$= \frac{\text{Net Profit}}{\text{Net sales}}$$

What is Going public?

⇒ Refers to the process where a privately-owned company offers its shares to the general public for the first time through an initial public offering. Selling some part of the company by registering with securities and exchange commission.

Pros:

- Liquidity & valuation
- Personal wealth
- Enhanced ability to borrow
- Ability to obtain external capital

Cons:

- Increased risk of liability
- Expense
- Loss of control
- Disclosure of information

Quiet period:

90-day period in going public when no new company information should be released.

General valuation approaches:

methods for determining the worth of the company.

of cash flow Present value valuing a company based on its future sales and profits.

Replacement value The cost of replacing all assets of a company.

Book value The indicated worth of the assets of a company.

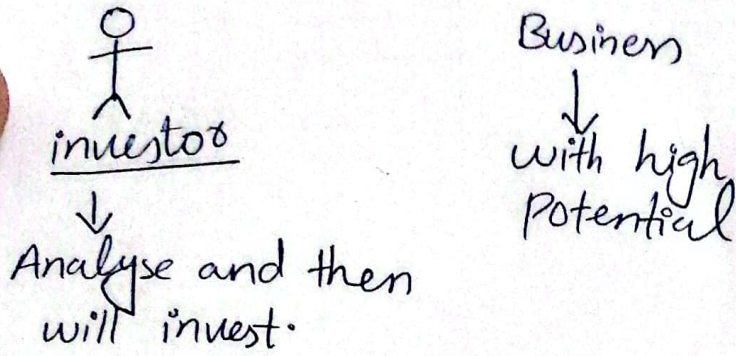
Earning approach.

- Determining the worth of company by looking at its present & future earnings.

Factor approach.

- Using major aspects of a company to determine its worth.

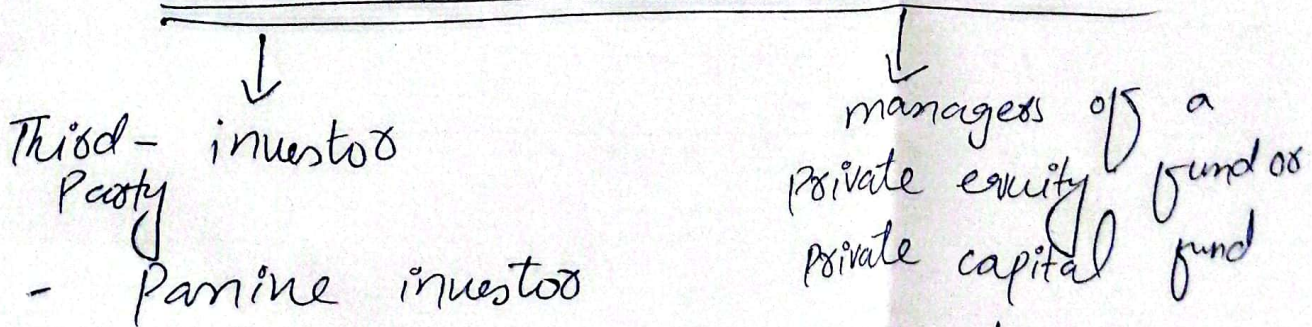
venture capital - form of equity funding



⇒ These are professionally managed funds which are invested in companies that have huge potential.

Venture capitalist: who invest
↳ who professionally analyse & then invest.
↳ Provide mentorship
Act as litmus test

Limited partner vs General partner



venture capital structure

